

A Declaration of Policy

Charles E. Merrill and E. A. Pierce

To Partners and Managers:

We are glad to be able, at last, to write you in some detail about this new firm of ours.

We think you will want to know more about what led to the consolidation of the three companies—E. A. Pierce & Co., Cassatt & Co., Incorporated, and Merrill, Lynch & Co., Inc.—and you will want to know where we go from here.

The first part of the story is simple. It deals with problems with which we are unfortunately all too familiar—problems of general business depression from which our industry has not even begun to recover. In the security business, as in others, the collapse shook our houses beneath us.

SECURITY BUSINESS PERFORMS AN ESSENTIAL SERVICE

During the past few years we have been trying to readjust ourselves. Some of us have been a little slow in realizing that the readjustment has to be permanent, and a few doubt the possibilities of any successful readjustment. Nevertheless,